Credit memo: B&G FOODS, INC.

Borrower	B&G FOODS, INC.
Fiscal year	ending 2026-01-03 (SEC 10-K XBRL filings)
Proposed facility	USD 100m 5-year floating-rate bullet at 6.0%
Purpose	capital expenditure
Analyst review	Draft, not yet reviewed by an analyst. All sentences passed the evidence and consistency checks.
Prepared	2026-11-07T23:27:45Z · writer template · snapshot f48077a90534

ANALYST REVIEW REQUIRED — decision support only; not a rating, not a probability of default, not a lending decision.

Amounts in USD millions unless stated. Every number is inserted from the deterministic engines and cited in brackets; the appendix gives each source.

Executive assessment

After the facility, net debt / EBITDA would be 12.20x, against 11.59x before it, with EBITDA / interest at 1.05x.[1–3] The next-FY accounting-stress screen is 80.8%, in the high band.[4–5] The downside case breaches the maximum net debt / EBITDA covenant of 3.50x by 11.76x.[6–7] Figures come from SEC 10-K XBRL filings; the memo supports analyst judgement and makes no lending decision.[8]

Financial profile

Revenue was USD 1,829m, down 5.4% year on year.[9–10] EBITDA, approximated as operating income plus depreciation and amortization, was USD 163m, a margin of 8.9%, against -5.6% a year earlier.[11–13] Operating cash flow of USD 101m covered capital expenditure of USD 30.6m, leaving simple free cash flow of USD 70.7m.[14–16] Gross debt stood at USD 1,950m and cash at USD 56.3m, for net debt of USD 1,894m.[17–19] Net debt / EBITDA was 11.59x and EBITDA / interest 1.09x.[2, 20] For the credit ratios the filing figures were adjusted to income-statement interest expense; the appendix gives each rule.[21]

Key strengths

The business generated positive free cash flow of USD 70.7m.[16] Liquidity is solid, with a current ratio of 3.32x.[22]

Key risks

Leverage is high, with net debt / EBITDA of 11.59x.[2] Interest cover is thin, with EBITDA / interest of 1.09x.[20] Revenue fell 5.4% year on year.[10] Some inputs were derived or approximated (3 data warnings); see the evidence appendix.[23]

Neural stress screen

The neural stress screen puts the chance that next year's accounts show financial stress at 80.8%, in the high screening band.[4–5] The largest contributions came from stress tests already failed this year (raising the score) and net debt to EBITDA (raising the score).[24–25] On held-out years the model reached a precision-recall AUC of 0.805, against 0.825 for an XGBoost benchmark.[26–27] The screen is an indicator of accounting stress, not of default, and is one input to analyst judgement.

Stress cases

In the base case gross debt rises to USD 2,050m; net debt / EBITDA is 12.20x and EBITDA / interest is 1.05x.[1, 3, 28] In the downside case (EBITDA -20%, rates +200 bp) net debt / EBITDA is 15.26x and EBITDA / interest is 0.83x.[29–31] In the severe case (EBITDA -35%, rates +400 bp) net debt / EBITDA is 18.78x and

EBITDA / interest is 0.67x.[32–34] In the analyst's own case (EBITDA -10%, rates +100 bp) net debt / EBITDA is 13.56x and EBITDA / interest is 0.94x.[35–37] Proceeds spent on capex or acquisitions are assumed to add no EBITDA.

	Before loan	Base	Downside	Severe	Your case
Assumptions	reported	no shock	EBITDA -20%, rates +200 bp	EBITDA -35%, rates +400 bp	EBITDA -10%, rates +100 bp
EBITDA	USD 163m	USD 163m	USD 131m	USD 106m	USD 147m
Gross debt	USD 1,950m	USD 2,050m	USD 2,050m	USD 2,050m	USD 2,050m
Net debt	USD 1,894m	USD 1,994m	USD 1,994m	USD 1,994m	USD 1,994m
Net debt / EBITDA	11.59x	12.20x	15.26x	18.78x	13.56x
EBITDA / interest	1.09x	1.05x	0.83x	0.67x	0.94x
Headroom: max net debt / EBITDA	—	**breach 8.70x**	**breach 11.76x**	**breach 15.28x**	**breach 10.06x**
Headroom: min EBITDA / interest	—	**breach 1.95x**	**breach 2.17x**	**breach 2.33x**	**breach 2.06x**

Headroom is the distance to the covenant limit; a breach shows the shortfall. Not testable means the ratio is undefined (EBITDA at or below zero, or no interest expense); it is not counted as a breach. EBITDA shocks move EBITDA by a share of its size, so a downside deepens a loss.

Covenant headroom

Against a maximum net debt / EBITDA of 3.50x, in the base case the covenant is breached by 8.70x.[6, 38] In the downside case the covenant is breached by 11.76x.[7] In the analyst's own case the covenant is breached by 10.06x.[39] Against a minimum EBITDA / interest of 3.00x, in the base case the covenant is breached by 1.95x.[40–41] In the downside case the covenant is breached by 2.17x.[42] In the analyst's own case the covenant is breached by 2.06x.[43]

Diligence questions

Is a maximum net debt / EBITDA covenant of 3.50x appropriate given the downside headroom?[6] How much of the existing debt is floating-rate, and is it hedged? Does operating income include one-off items that an adjusted EBITDA would remove? Close the data gaps listed in the appendix before committee.

Assumptions (analysis snapshot f48077a90534)

Input	Value
Baseline (credit basis)	EBITDA USD 163.4m, gross debt 1,950.1m, cash 56.3m, interest 149.6m
Cash basis	unrestricted
Facility	USD 100.0m, 5-year, floating at 6.00%, repayment 0.0m a year
Use of proceeds	capex
Existing debt at floating rate	0.00%
Covenants	max net debt / EBITDA 3.50x; min EBITDA / interest 3.00x
Case: Base	EBITDA +0%, rates +0 bp
Case: Downside	EBITDA -20%, rates +200 bp
Case: Severe	EBITDA -35%, rates +400 bp
Case: Your case	EBITDA -10%, rates +100 bp
Snapshot	f48077a90534 (loan engine v1.2.0, snapshot format v1)

Source trail for headline figures

Each figure from the filing to the memo: where it was reported, the normalized fact (with any rule applied), the calculation, and the first memo sentence that cites it.

EBITDA (approx.) (FY2025): USD 163m

Filing → normalized	Operating income: 97,147,000 USD, tag OperatingIncomeLoss, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 97.1m Depreciation and amortization: 66,223,000 USD, tag DepreciationDepletionAndAmortization, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 66.2m
Calculation	EBITDA = 97.1 + 66.2 = 163.4
Memo statement	“EBITDA, approximated as operating income plus depreciation and amortization, was USD 163m, a margin of 8.9%, against -5.6% a year earlier.” (Financial profile, [11])

Net debt (FY2025): USD 1,894m

Filing → normalized	Short-term borrowings: not reported → 0.0m Current portion of long-term debt: 4,500,000 USD, tag LongTermDebtCurrent, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 4.5m Long-term debt (non-current): 1,945,576,000 USD, tag LongTermDebtNoncurrent, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 1,945.6m Cash and equivalents: 56,293,000 USD, tag CashAndCashEquivalentsAtCarryingValue, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 56.3m
Calculation	Gross debt = 0.0 + 4.5 + 1,945.6 = 1,950.1 Net debt = 1,950.1 - 56.3 = 1,893.8
Memo statement	“Gross debt stood at USD 1,950m and cash at USD 56.3m, for net debt of USD 1,894m.” (Financial profile, [19])

Net debt / EBITDA (FY2025): 11.59x

Filing → normalized	Operating income: 97,147,000 USD, tag OperatingIncomeLoss, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 97.1m Depreciation and amortization: 66,223,000 USD, tag DepreciationDepletionAndAmortization, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 66.2m Short-term borrowings: not reported → 0.0m Current portion of long-term debt: 4,500,000 USD, tag LongTermDebtCurrent, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 4.5m Long-term debt (non-current): 1,945,576,000 USD, tag LongTermDebtNoncurrent, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 1,945.6m Cash and equivalents: 56,293,000 USD, tag CashAndCashEquivalentsAtCarryingValue, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 56.3m
Calculation	EBITDA = 97.1 + 66.2 = 163.4 Gross debt = 0.0 + 4.5 + 1,945.6 = 1,950.1 Net debt = 1,950.1 - 56.3 = 1,893.8 Net debt / EBITDA = 1,893.8 / 163.4 = 11.59x
Memo statement	“After the facility, net debt / EBITDA would be 12.20x, against 11.59x before it, with EBITDA / interest at 1.05x.” (Executive assessment, [2])

EBITDA / interest (FY2025): 1.09x

Filing → normalized	Operating income: 97,147,000 USD, tag OperatingIncomeLoss, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 97.1m Depreciation and amortization: 66,223,000 USD, tag DepreciationDepletionAndAmortization, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 66.2m Interest expense: 149,039,000 USD, tag InterestPaidNet, 10-K filed 2026-03-03, accession 0001104659-26-022961 → 149.6m (rule R7: income-statement interest expense, net of interest income (InterestIncomeExpenseNonoperatingNet); replaces cash interest paid 149.0m)
Calculation	EBITDA = 97.1 + 66.2 = 163.4 EBITDA / interest = 163.4 / 149.6 = 1.09x
Memo statement	“Net debt / EBITDA was 11.59x and EBITDA / interest 1.09x.” (Financial profile, [20])

Evidence appendix

#	Item	Value	Source
1	Base case net debt / EBITDA	12.20x	Loan engine v1.2.0, Base case
2	Net debt / EBITDA (FY2025)	11.59x	Formula net_debt / ebitda (v1.0.0)
3	Base case EBITDA / interest	1.05x	Loan engine v1.2.0, Base case
4	Next-FY accounting-stress probability	80.8%	Neural stress model stress_mlp_v1; inputs as of 2026-03-03

#	Item	Value	Source
5	Screening band	high	Neural stress model stress_mlp_v1; inputs as of 2026-03-03
6	Covenant: maximum net debt / EBITDA	3.50x	Analyst input in the loan lab
7	Downside case covenant shortfall (max net debt / EBITDA)	11.76x	Loan engine v1.2.0, Downside case
8	Data source	SEC 10-K XBRL filings	SEC XBRL companyfacts
9	Revenue (FY2025)	USD 1,829m	10-K XBRL RevenueFromContractWithCustomerExcludingAssessedTax, accession 0001104659-26-022961, filed 2026-03-03
10	Size of revenue change	5.4%	Formula |revenue_t / revenue_t-1 - 1| (v1.0.0)
11	EBITDA (approx.) (FY2025)	USD 163m	Formula operating_income + depreciation_amortization (v1.0.0)
12	EBITDA margin (FY2025)	8.9%	Formula ebitda / revenue (v1.0.0)
13	EBITDA margin (FY2024)	-5.6%	Formula ebitda / revenue (v1.0.0)
14	Operating cash flow (FY2025)	USD 101m	10-K XBRL NetCashProvidedByUsedInOperatingActivities, accession 0001104659-26-022961, filed 2026-03-03
15	Capital expenditures (FY2025)	USD 30.6m	10-K XBRL PaymentsToAcquirePropertyPlantAndEquipment, accession 0001104659-26-022961, filed 2026-03-03
16	Free cash flow (CFO – capex) (FY2025)	USD 70.7m	Formula cfo - capex (v1.0.0)
17	Gross debt (FY2025)	USD 1,950m	Formula short_term_borrowings + current_maturities_ltd + long_term_debt_noncurrent (v1.0.0)
18	Cash and equivalents (FY2025)	USD 56.3m	10-K XBRL CashAndCashEquivalentsAtCarryingValue, accession 0001104659-26-022961, filed 2026-03-03
19	Net debt (FY2025)	USD 1,894m	Formula gross_debt - unrestricted_cash (v1.0.0)
20	EBITDA / interest (FY2025)	1.09x	Formula ebitda / interest_expense (v1.0.0)
21	Credit-basis adjustments	income-statement interest expense	Data-quality checks: R7: income-statement interest expense, net of interest income (InterestIncomeExpenseNonoperatingNet); replaces cash interest paid 149.0m
22	Current ratio (FY2025)	3.32x	Formula current_assets / current_liabilities (v1.0.0)
23	Data-quality warnings	3	Data-quality checks
24	Model driver 1	stress tests already failed this year (raising the score)	Neural stress model stress_mlp_v1; inputs as of n/a
25	Model driver 2	net debt to EBITDA (raising the score)	Neural stress model stress_mlp_v1; inputs as of n/a
26	Model held-out PR-AUC	0.805	Frozen test-window evaluation (model card)
27	XGBoost benchmark PR-AUC	0.825	Frozen test-window evaluation (model card)
28	Base case gross debt	USD 2,050m	Loan engine v1.2.0, Base case
29	Downside case assumptions	EBITDA -20%, rates +200 bp	Loan engine v1.2.0, Downside case
30	Downside case net debt / EBITDA	15.26x	Loan engine v1.2.0, Downside case
31	Downside case EBITDA / interest	0.83x	Loan engine v1.2.0, Downside case
32	Severe case assumptions	EBITDA -35%, rates +400 bp	Loan engine v1.2.0, Severe case
33	Severe case net debt / EBITDA	18.78x	Loan engine v1.2.0, Severe case

#	Item	Value	Source
34	Severe case EBITDA / interest	0.67x	Loan engine v1.2.0, Severe case
35	Your case assumptions	EBITDA -10%, rates +100 bp	Loan engine v1.2.0, Your case case
36	Your case net debt / EBITDA	13.56x	Loan engine v1.2.0, Your case case
37	Your case EBITDA / interest	0.94x	Loan engine v1.2.0, Your case case
38	Base case covenant shortfall (max net debt / EBITDA)	8.70x	Loan engine v1.2.0, Base case
39	Your case covenant shortfall (max net debt / EBITDA)	10.06x	Loan engine v1.2.0, Your case case
40	Covenant: minimum EBITDA / interest	3.00x	Analyst input in the loan lab
41	Base case covenant shortfall (min EBITDA / interest)	1.95x	Loan engine v1.2.0, Base case
42	Downside case covenant shortfall (min EBITDA / interest)	2.17x	Loan engine v1.2.0, Downside case
43	Your case covenant shortfall (min EBITDA / interest)	2.06x	Loan engine v1.2.0, Your case case

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